STOCK MARKET FUNDAMENTALS

Bluestock Fintech | Data Analyst Internship - Week 2 | One-page concept summary

1 | Markets, exchanges and indices

Stock market: A marketplace where investors buy and sell ownership shares of listed companies. In the **primary market**, companies issue securities (such as through IPOs); in the **secondary market**, investors trade existing securities.

NSE / BSE: National Stock Exchange and Bombay Stock Exchange are India's major stock exchanges. **Nifty 50** tracks 50 large NSE-listed companies; **Sensex** tracks 30 major BSE-listed companies. Both are free-float market-capitalization-weighted indices.

IPO / SME IPO: An initial public offering makes a company's shares available to public investors for the first time. An SME IPO serves eligible smaller enterprises through dedicated exchange platforms, with distinct requirements and liquidity risks.

2 | Stock metrics and corporate actions

Concept	Meaning / calculation
Market capitalization	Share price x total outstanding equity shares; market value of equity.
P/E ratio	Share price / earnings per share (EPS); price paid per unit of earnings.
P/B ratio	Share price / book value per share; compares market and accounting value.
EPS	Profit attributable to ordinary shareholders / weighted-average ordinary shares.
Dividend	Cash or other distribution made to shareholders, subject to company decisions.
Bonus shares	Extra shares issued to existing holders in a stated ratio, e.g., 1:1.
Stock split	Each share subdivided into more shares, with lower face value per share.
Trading volume	Number of shares traded in a period; indicates market activity, not direction.

3 | Financial statements

Balance sheet: Snapshot of assets, liabilities and equity at a date; **Assets = Liabilities + Equity**. **Profit & loss (income statement):** Revenue, expenses and profit over a period. **Cash flow statement:** Cash movements from operating, investing and financing activities; profit does not necessarily equal cash generated.

4 | Core financial ratios for analysts

Net profit margin = Net profit / revenue x 100 (profitability). **Current ratio** = Current assets / current liabilities (liquidity). **Debt-to-equity** = Interest-bearing debt / equity (leverage; define debt consistently). **ROE** = Net profit / average shareholders' equity x 100 (shareholder return). **ROA** = Net profit / average assets x 100 (asset efficiency).

5 | How a data analyst uses these concepts

Collect validated price, volume and financial-statement data; calculate comparable metrics; analyze multi-year trends; visualize performance; and explain business implications. Check reporting periods, consolidated vs standalone figures, units, exceptional items and corporate-action adjustments before drawing conclusions.

Learning references: Zerodha Varsity (varsity.zerodha.com); SEBI Investor Education (investor.sebi.gov.in). Educational summary only; not investment advice.